The impact of changing interest rates

If interest rates fluctuated all the time, the economy would become volatile. This is why the government and central bank work together to keep inflation and interest stable. Every time the interest rate is changed, it sends a signal to consumers to either spend or save – and may also increase or decrease confidence in the state of the economy. An increase in interest rates encourages saving, since higher interest will be paid on money in savings accounts, and investments can grow. Meanwhile, borrowing becomes less attractive as interest repayments increase, and banks are more selective about whom they lend to. This impacts on the affordability of obtaining or repaying an existing loan, such as a mortgage. By contrast, a drop in interest rates is intended to stimulate spending, since consumers can take out loans more cheaply, while savers will tend to spend or invest deposits that are attracting little interest. Interest repayments will also drop for those with mortgages tracking the base rate, leaving more cash for spending. While encouraging spending through very low interest rates might boost the economy, it can ultimately impact negatively on long-term savings plans, such as pensions.

When interest rates are raised

Higher interest rates make loans less affordable, while high interest on savings accounts encourages saving rather than spending. As spending slows, so does the economy, with demand for goods and services decreasing. This eventually affects businesses and employment levels.